

INTERNAL AUDIT REPORT

Procurement Compliance Audit | Report No. AR-02344

Report ID:	AR-02344
Audit Type:	Procurement Compliance Audit
Report Date:	July 25, 2024
Audit Period:	2024-02-07 to 2024-07-06
Lead Auditor:	Rebecca Richardson (EMP-44123)
Reviewed By:	Anna Walker (EMP-60445)
Primary Vendor Reference:	GreenBridge Consulting Holdings (VND-01968)
Subject Employee Reference:	Melissa Harvey (EMP-40139)
Primary Transaction Reference:	TXN-C1088417975
Overall Risk Rating:	HIGH

1. EXECUTIVE SUMMARY

This procurement compliance audit covered the period 2024-02-07 to 2024-07-06 and examined transactions, approvals, and compliance records associated with vendor GreenBridge Consulting Holdings (VND-01968) and employee Melissa Harvey (EMP-40139). The audit identified 3 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **HIGH**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-C1088417975 (amount 10,286.58 USD) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-003046	MEDIUM	VENDOR RISK	High-risk vendor GreenBridge Consulting Holdings has no compliance record on file. Payment of \$403,602 released without compliance clearance...

Finding ID	Severity	Category	Description
FND-001829	LOW	FRAUD PATTERN	Round-number transaction of \$177,831 processed at 04:56 — outside standard business hours. Flagged by anomaly detection.
FND-003962	CRITICAL	VENDOR RISK	High-risk vendor Apex Solutions Holdings has no compliance record on file. Payment of \$477,147 released without compliance clearance.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-004076	TRANSACTION RECORD	EVD-KSL-9128	0.85
EVI-006175	HR RECORD	EVD-XWM-5516	0.61
EVI-008170	EXPENSE CLAIM	EVD-HYT-7128	0.98
EVI-008393	COMPLIANCE RECORD	EVD-WME-5792	0.55
EVI-008704	HR RECORD	EVD-YRM-9420	0.73
EVI-009713	POLICY DOCUMENT	EVD-WPK-3798	0.67

5. RECOMMENDATIONS

- Strengthen segregation of duties between transaction initiation and approval functions.
- Require compliance certificate verification as a system gate prior to payment release.
- Conduct mandatory refresher training on the Delegation of Authority Policy for approving managers.

6. MANAGEMENT RESPONSE

Management partially agrees with the findings; a remediation plan has been submitted for review by the Audit Committee.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Rebecca Richardson	EMP-44123	2024-07-25
Reviewing Officer	Anna Walker	EMP-60445	2024-07-27